Ep. 372: Branko Milanović on China's Rise, the Shift to National Market Liberalism, and Inequality

Podcast: Macro hive

AI Executive Summary

1. **Core Thesis** The episode outlines the transition from neoliberal globalization to a new geopolitical-economic order characterized by "National Market Liberalism," where economies adopt domestically pro-market policies and internationally mercantilist approaches. Branko Milanovic argues that China's unexpected economic rise has disrupted global income distribution, overtaking Western middle classes in relative standing and prompting a shift away from free trade ideals toward state-led resource competition and protectionism. This era is defined by the consolidation of power within specific countries (US/Europe/China) and the emergence of a distinct elite class ("Homonoplutocrats") that controls both capital and labor income, creating new ideological contradictions for youth and traditional political movements.

2. **Key Arguments & Data**

3. **From Neoliberalism to National Market Liberalism:** Neoliberalism (1979–1989) is defined by cosmopolitan free trade and market equality principles. This has shifted to a system where nations are economically open domestically but politically and militarily competitive internationally ("police policies"). The US/China model prioritizes state support for private sector competitiveness abroad.
4. **China's Geopolitical & Economic Impact:** China's rise (1990s–present) was unexpected by Western neoliberal framers; it serves as a serious technological and military competitor, not merely a market consumer. Unlike historical colonialism, China has not colonized but engages in resource competition similar to Western firms. Under Xi Jinping, China centralized power to reduce rural-urban inequality gaps (though total inequality remains higher than the US).
5. **The New Elite ("Homonoplutocrats"):** Historically, the top capitalists and top laborers were distinct groups. A new ~3% elite (US) or 2–3% (Europe) class now dominates both capital income and high-earning labor income simultaneously. This group is "vested" in meritocracy but possesses wealth from both ownership of assets and

hard work, creating a unique political ideology compared to traditional Marxian contradictions.

6. **Inequality Metrics:** Chinese inequality is currently higher than the US level (though rural-urban gaps are narrowing under Xi), while Indian growth may rely on high-tech innovation rather than metal-bashing manufacturing. Western nations now fight for resources and territories ("mercantilism").
7. **Migration Paradox:** Europe has transitioned from a continent of immigrants to emigrants; inward migration is currently politically difficult due to lack of industrial absorption capacity. Milanovic suggests "circular migration" as a middle-ground solution between total free movement and closed borders, though this remains impractical in the current geopolitical climate.
8. **Youth Anguish & Elite Multiplication:** Young people struggle due to high inequality and an ideology valuing only the top ("Elite Multiplication"). The high cost of gaining entry into wealth causes social resentment; if inequality reduced, the "value" of individual success would decrease, alleviating anxiety for those with limited opportunity.

9. **Turning Points:** Neoliberalism began in the late 1970s (Thatcher/Reagan) and ended with the 2008 Financial Crisis (ideological shock), followed by political shocks in Trump/Brexit (2016).

10. **Actionable Takeaways**

11. **Read "The Great Global Transformation":** Acquire the book published in October/November via Penguin Publishers (approx. £12–13) to understand Milanovic’s analysis on globalization, inequality, and China's rise.
12. **Prepare for Geopolitical Shifts:** Adjust long-term economic planning to account for increased international competition, potential resource nationalism, and the end of idealistic free trade assumptions.
13. **Monitor Elite Income Dynamics:** Understand that the most successful individuals currently command wealth through both capital

ownership and high labor income; consider diversifying revenue streams to avoid reliance on a single factor.

14. **Reframe Inequality Narratives:** Recognize that social unrest among youth stems from the perception of meritocracy clashing with high inequality; view policies reducing the "value" of extreme top-tier accumulation as stabilizing forces for society.
15. **Evaluate Migration Policy:** Be aware that free labor movement is becoming a contested political tool, not an economic norm; consider circular migration models if available in regional contexts.

Full Transcript

Welcome to the MacroHive Conversations podcast. I'm Bilal Hafiz, head of strategy at MacroHive. Before we dive in, a quick update. Following MacroHive's acquisition by the BGC Group, BGC has launched a new regulated business called MacroHive Markets. For the first time, onboarded clients can also access execution services via MacroHive Markets. This new workflow will allow macro institutional investors to benefit from strategy and quant insights, alongside access to global liquidity. Please contact Andrew Simon or Gail Mojibriyan

Bloomberg or click the link in the description below for more details on McRide markets and its service offering. Now onto this episode's guest, Branko Milanovic. Branko is a research professor at the Stone Center on Socioeconomic Inequality at City University of New York. He received his PhD from the University of Belgrade in 1987 and later went on to serve as the lead economist in the World Bank's research department for almost 20 years. He later worked at the Carnegie Endowment for International Peace in Washington, the University of Maryland, John Hopkins University, also all college in Oxford, and the university at Carlos in Madrid. Branco's main area of work is income inequality. He's author of several books, and the most recent one is The Great Global Transformation. Now on to our conversation.

So welcome, Branko. It's fantastic to have you on the podcast show. Well, thank you very much for having me. I mean, it's really a pleasure to be here. Now, before we get into the meat of our conversation, I'd like to ask all of my guests something about their origin story. So it'd be great to hear in your own words, you know, what you said at university. Was it inevitable you'll end up in kind of academia, research, policy, that kind of whole world? Well, let me just answer the second question first and then I'll go to the first. It was not inevitable. I always wanted, actually, I did my bachelor's degree in Belgrade in Serbia, which then was Yugoslavia. I did it in economics slash statistics. In the third year, you have actually to decide which type of specialization you want to take.

I took statistics which is very mathematical and it's very small. We had about 20 people in our class and you definitely had to go to all the math classes and linear programming and well that was called cybernetics actually but it was lots of mathematics and operation research. But then, of course, I would have liked to stay in academia. In that sense, really, there was a preference for that. But the job that I got was in an economics institute, which is very close to being academia. And then from there, actually, afterwards, I came to the US and applied to the ball bank and all of that. However, what I wanted to say, I think it's important for the young researchers, it's also important for people who write biographies of other people. There was no inevitability.

You know, there is a lot of accident. There is a huge amount of contingencies. There is a huge amount of luck that plays such an incredible role. So it's only after the fact that you can actually, it seems to you, well, that was like the only path that a person could have taken. But in reality, that person knows that would have been ten other. That's a great way of framing it. And yeah, definitely, there's an ex ante and an exposed view of things. Now, I mean, one thing I have noticed in your work, that sort of thread that runs throughout all of your work of your career has been this focus on inequality, which, you know, has recently obviously become a bit massive, sort of focal point, but it hasn't always been the case yet. You've always focused on inequality. You know, I always did. Actually, when I mentioned to you that I studied statistics, of course, you're studying statistics distributions.

And as it would not surprise anybody, we studied it. And that was generally the case, I think, in communist countries. And you studied it without many applications to real world. So we did actually do derivations. There will be questions you would actually have to show. And I forgot, characteristic function on such and such distribution. But we never reapplied it. And I remember that day when I actually first time when I saw it was a newspaper and then they published tabulated statistics about income distribution. And I said, look, I mean, we study all these distributions. Well, here is a place to apply. And actually, you know, your interest in distributions then becomes much greater because you see they serve some function. There was something like you can do with them. And then on the other hand, I was

very much interested in social issues. I actually read Marx when I was in high school and you know, it's not that the mark speaks about inequality as such, but it definitely opens up your mind to look at different classes. And you know, moving actually the whole book, Visions of Inequality that I finished several years ago really shows that really you need to have a class analysis sort of undergirding the data analysis when it comes to inequality. So that's why actually I started working on that. And when I came to the World Bank just last point, I came to the unit which tells with income, well actually in those days it was poverty and income distribution in transition countries. And very few people had worked, I mean there are some people, but very few people had worked on that originally. We are talking about late 1980s, early 1990s.

Okay, that's great context there. Yeah. No, that's really good. And recently you published a book, The Great Global Transformation, which in some ways kind of captures a lot of your thinking in the quality, you know, the kind of the global systems and neoliberal system and so on. And, you know, one thing I noticed in the work in the book is that you do have a big focus on the rise of China in particular in terms of kind of thinking about the global system that we have. So why do you think China's rise has been so important in the way you look at things? I think China rise really super important now. I'll explain that. The first of all is that rise was rather unexpected in the sense that the framers of neoliberal globalization would take really let's take Reagan or Thatcher or you know this neoliberal movement in Western countries. They actually thought that neoliberal globalization is going to benefit them the most.

In other words, it would actually cement the sort of Western control of the world. And it did, you know. The Western narrative was so dominant in the 1990s. I mean, really specifically, ideological narrative, but also economically, obviously they were on the top, the Soviet Union collapsed, Russia was really in doldrums, and China was really a sleeper. They were happy, okay, sure, let China grow a little bit. We, of course, are going to make lots of money because it's in an immense market. But they never expected that China would become what it became, a real serious competitor, not only militarily, but really more important technologically, economically. So in that sense, the rise of China really surprised them.

But the rise of China comes together with the rise of Asia and the two of them with large countries. Actually, obviously, China and India are the largest, but one should not forget Vietnam, Indonesia, Thailand, and so on. Totally changes the configuration of economic power in the world. And what my book does is actually combines the two levels. So I think it's the only book that does that, to be quite honest. It combines this geopolitical level where China becomes really now a competitor of the United States. But then has the second level, because I've been working on that, as you know, for years, it's a personal level. So for me, or actually as a person American, it's not China in an abstract sense that he cares or she cares. It is China that pushes him to a lower position in global income distribution. In other words, China effect for him for particularly lower part of the American and Italian or German income distribution means that they are no longer at the 70s or 80s percentile of the world income distribution, they go down. And that is really a major reshuffle, which we have not seen since the Industrial Revolution, where the West went ahead in the top. Well, now for the first time, a significant number of people undertake or overtake some people from the Western countries.

So I think in that sense, there are two effects of China, as I said, geopolitical and very personal effects. And on that, I mean, earlier you mentioned Karl Marx. And, you know, part of the reason for the Western ideological dominance in the 1990s was this view that communism failed, you know, because of and people cited the Soviet Union. But meanwhile now China, you know, which the Communist Chinese Communist Party runs has done incredibly well. So what does that tell us about communism or Marxist theory? You know, it is a very difficult question to go back to the very beginning. So they agree what you were saying is essentially the belief then was that The Marxism and communism is absolutely finished. And as you have seen, actually the Western parties, if you remember, like for example, the Italian party at the peak, pulled almost one third of the vote on Italy, just disappeared. It became so-called democratic party and eventually disappeared. It was very clear that it was like the end of that ideology and that system. Now, China is not a Soviet Union, but it is true that China has a communist party which governs the country. And it is using extremely efficiently effectively so far, the state and the market. And that was something also that was not anticipated at all. And maybe somewhat self-

servingly, somewhat, but not fully. People were saying, okay, let China grow because they didn't really see the threat of China. But also what will happen is the same thing with South Korea and Taiwan.

They would have large middle class, they would democratize and they would become part of our system. And that, I think, was really whatever China might become a democracy. I don't know. But China would never be absorbed in the U.S. ruled hegemonic system. It's just impossible because that system was created, was hierarchical with the U.S. on the top. And China is too big. China would accept core hegemony. But the U.S. is never going to give. So that's why I think actually the whole thing about democratization of China and China, sort of joining that system, the same is true for India. These are two big countries. They cannot be absorbed. Even Russia could not be absorbed because Russians were not happy with the secondary role which they were given. And you mentioned some of the other Asian countries, whether it was Vietnam, Indonesia, India, and so on. In terms of their stage of development, of course, China has done incredibly well.

I mean, how would you characterize their move up the development model? You know, are they like kind of Japan in the 50s or 60s or are they have they reached the maturity phase? I mean, how do you think about those intermediate countries? You know, I've studied China quite a lot and I'm more comfortable talking about China. And I do have an advantage actually of communist background and actually having studied quite a lot of communist because it's not irrelevant for China. Despite everything else, the thinking at the party level, at the pro-party level, has certain parts, which are still sort of Marxist or Leninist, whatever. Now, that actually applies, I think, to Vietnam. And I see Vietnam in a very similar light. But India is a different story, not only because the political system is different, but India is different because it has a very top level of technological ability and development.

But then has manufacturing, which has developed much less than in China, has large agricultural sector. So I think that India will potentially could possibly grow in a way that growth has not been seen in the past, in the sense that it would be growth, which would be predominantly based on the

new technologies that are not essentially metal bashing and stuff like that. So it is, I think, a possibility simply because it is such a big country and it has so many actually huge number of people who are at a very high level of technological knowledge. And it's not an accident that you have many Indians who are actually in Silicon Valley and all of that. So I think it could be maybe, but I'm not a student of India, but it could be a new model of development which will go with this new phase of technological development, which no longer is so much dependent on manufacturing. I mean, one point is that when you look at, say, the growth of Britain after the Industrial Revolution and then US, it was often associated with empire or neo-empires of some kind. And people have projected that onto China in terms of that China will follow some kind of neocolonial model, whether it's resource grabs in Africa or in the Middle East, debt, you know, debt-serving tutor for those countries. I mean, do you think that is a path for China? Do you think it's mischaracterization of the intent of China? You know, there are certainly large countries and China is a large country and has really sort of a global role. Well, they need resources and China is actually playing very hard to get resources. Like the US is playing as well. I mean, every country is playing. But I think we should make a distinction between the rise of many Western countries, in particular, I mean, UK or France as well, that really had real colonies that were basically exploited and had no say. The fact is that China does not have or did not have such a colony. So actually, the rise of China has been done without colonization, explicit colonization. And I think it's a big difference. I think there are many people who do argue that, for example, lots of other the rise of the UK of England actually was based on, well, to some extent slavery and of course, slavery as you know, in the plantations in the West Indies and elsewhere. But of course, India played a very big role in other countries. Now, China certainly is fighting for the resources. Actually, in many cases, it is said, I don't know for sure, but it is said.

It's pretty exploitative, particularly in African countries. There is very little control over how it is done. There must be, obviously, bribery and corruption. To be quite honest, I don't see that it is very different from the way that Western companies operate in those countries. I'm not convinced. You know, Western countries, when they go from Germany to Switzerland, operate in one way. when they go from Germany to Mali or Namibia, they

operate differently. So maybe that China is a little bit worse or better, actually, because there are arguments that may be better, because they often build things which are useful. But anyway, I would plead what they call the Fifth Amendment on that. I have not studied it, but I don't see a dramatic difference between the two.

And one of the things you talk a lot about neoliberalism, the rise and fall of neoliberalism, at least in the West. I mean, first of all, I guess, how would you define neoliberalism? Well, I define neoliberalism is, I mean, both components, international and domestic component as economic policy, which puts emphasis on market. profit principle of free markets domestically, internationally, which tends to not tax very high incomes very highly. In that sense, it is different from social democratic market economy. And a system that theoretically is cosmopolitan. I think it's very important because what we now have with all the, not only Trump, but also Europe and elsewhere, we have the rejection of that part of neoliberal ideology, the international part.

The international part was not only simply, there was also free trade and even theoretically or aspirationally free movement of labor. But it was also an ideology that in principle treated everybody the same in the sense that everybody could potentially become neoliberal successful capitalist. You know, it was not an ideology that said culturally such and such people cannot become. But what we now have in the nationalist part, which we see in the US and Europe, we have the fact of abandonment of that idea, which was really central to the cosmopolitan or internationalist ideology like liberalism. And neoliberalism as well, and socialism as well. But once you put national, as you know from my book, once you put national as a prefix, you get a very different animal.

And that's what I say to people, you see, take socialism, very international, cosmopolitan ideology. Okay, great. Well, put the prefix national in front of it. You get very different. Indeed, yeah, yeah, be careful where that conversation will end up going. Now on the aspect of sort of free trade as being part of neoliberalism, I mean, there are some people who argue that it was really never about free trade. That was, it was a veneer of like we're using free markets and those sorts of things, you know, but instead it was

really about US or Western dominance over the countries veiled as a kind of free trade. I mean, do you think that's a fair critique of that kind of free trade doctrine or was it genuinely about free trade? Well, I'm not really sure because I think it's really pushing things a little bit too far. Then any sort of activity, any sort of ideology, anything can be then interpreted or a sort of in a way that it is It is certainly, they believe that it would serve them well, of course, the Western countries because they were dominant technologically, economically, and of course we know that if you are dominant power, free trading principle is good for you because you are able to produce things much more efficiently than the other kind. But I think they genuinely believe in those days that free trade is not a zero sum game, that it will be a positive sum game. And they probably believed that that positive sum would be divided in a way which was good for them. They probably did not think actually it would be, as I was saying before, it would be good for China. But I do believe that there was an ideological content and it was not a fake content. I do believe that it was a content that at that time suited very well rich western countries.

But it does not mean that they actually need not believe in that at all for the others. That's an opinion. No, that's fair. And in terms of the decline of neoliberalism, I mean, people kind of, you know, sometimes say 2008, the global financial crisis was really the beginning of the end of neoliberalism. Other people point to 2016, Trump, Brexit, you know, all of those kind of nationalist, nativist, you know, political movements. In your eyes, do you have a view on that or is that important to know to identify the turning point or not? Yeah, it is important. If you look, for example, if you look at the turning point of the previous period or the beginning of neoliberalism, it is important to put some numbers, some year. But of course, you cannot really put one. Let's go for the past. You look at 1979, Margaret Thatcher, 1980, Reagan.

1989 fall of the Berlin Wall or in the middle of middle of that 85 Corbaccio, because it was very important. So it's really a whole decade. And I think the same is when we look at the ending of that neoliberal globalization. As you said, we had really the financial crisis, 2007, 2008. I think this is a major effect. And I can tell you, for example, like people invite me different countries, places that I go, it's incredible what percentage of young people

now they're middle age now, but they developed that huge skepticism towards economics because of the crisis. They were about 20 years old or so in 2008. They were starting economics, maybe 22 years old. And then suddenly this happens and not only nobody could foresee, nobody can explain what has happened. And then really when I talk to them, actually that's what I also like in the quality stuff because it was something that was never taught. So I think it was an ideological shock.

from which economics and neoliberalism really had hard time recovering. And then of course what came was a political shock and that was the Trump election and of course Brexit 2016. So I would put that as a date. I would not actually put 24 with return of Trump. That was kind of confirmation of the movement. It was like a nail on the head because even if Biden or whoever the high risk had stayed. The policy of the United States, international economic policy had already changed. I mean, what you've talked about since then, you know, the largest two hegemons in the US and China are converging to what you call national market liberalism. And, you know, perhaps let's unwrap that first in terms of how you define that. Well, the US actually it is easy for me to unwrap and I'll come to China in a second. For the US, actually, what they argue is that and for basically lots of countries in the world, the European Union in particular. So neoliberalism has been replaced in its international component. I mentioned that before that was being jettisoned. You know, it's essentially we are now having American police policies and trade is seen psychologically intellectually as a zero sum game. So we actually are back to what.

I think actually Hopson, Rosa Luxemburg, and Lenin were speaking in 1914 and before 1914. We are fighting for territories. We are fighting for markets. We are fighting for resources. And in that fight, we use the military of our country. So basically it is the private sector, capitalist sector, which cannot win unless it has the support of the political support and the military support of that country. So this is actually very similar. But what I meant is that the mercantilistic policies are on the international level. Domestically, if you look at Trump, he follows many of the neoliberal precepts and many of the neoliberal ideas, deregulation, lower taxation for the rich. All these ideas are actually being followed. Macron does the same. You know,

pension reform, labor market reform. He's like a late toucher, right? They were late Ricardians, so he's a late...

So this is really a deepening of these things. And so in that sense, that's why I call it national market liberalism. It's actually, it's liberal, neoliberal, domestically and mercantilistic abroad. So where liberalism remains is on the national market. And that's it. That was for the explanation for the US, I believe. Now, for China, it's a little bit different. China, of course, has followed mercantilistic policies, so it is not a novelty for them. They have followed that before. And for China, what I'm more interested in is whether the current policies are really what they call a very long new economic policy from Lenin. Because it is really a party that controls the essential sectors, including the finance.

but lets the market economy kind of basically run and do whatever market economy does, but does not allow the rich people access to political power. And I think this is actually crucial. And I have a quote, for example, from Deng Xiaoping. He said, we will run a new economic policy net for another 100 or 200 years. And I think it is really very much what was the tradition of Chinese statecraft. It is that the country is ruled by an elite, essentially in those days, you know, in the past, it was the elite who passed the exam. Nowadays, it's still similar, technological, very sort of well-educated elite. And other people make money, but we create, so to speak, a Chinese wall between the businessman and the bureaucrats. The bureaucrats make decisions Sometimes they are influenced by business and sometimes not, but we don't have Elon Musk in government. And I think that's an important part. One thing I noticed about President Xi since he came into office was that before him, there was this positive decentralization. There was a lot of power politically and economically at the provincial level. But since he came into office, he centralized a lot. So he seems to be moving towards centralization, which also mirror something in the Western economies as well, this kind of move towards more centralization of power, less democratic in some senses, but very pro-business as well at the same time. I mean, how do we square all of these circles? I would see India doing exactly the same, much greater centralization of power.

the use of an ideology to reinforce that power, open use of the ideology, and extremely pro-business policies. And you would actually, people very seldom mention that, but I'll come to China in a second, but very seldom mention the same thing in Turkey. You know, Turkey has been, people are right about Erdogan, left and right, all of that, but Turkey has economically been extremely successful. It was a pro-market policy that Erdogan has been doing, creating actually very strong middle class of small businessmen. This is not the middle class of billionaires, it was the middle class of small businessmen. And Turkey is now over, I think it's actually overtaken Greece by GDP per capita. Well, this is something that 30 years ago, you didn't expect. To go back to China, I think definitely we have seen exactly what you said, centralization. Because China, at one point, was very decentralized, especially in terms of fiscal revenues. They had a problem, I think, in the 90s. The Prime Minister, Zhu, who just died, I think, two days ago, was the one who actually also centralized because there was too much...

fiscal authority that the provinces had. And yes, I believe that was the policy. And even, you know, somebody working on income distribution, I have access to actually been working with Chinese data. And you do see that, you know, you see that a very large increase in the 90, well, in the 2000s also of Chinese inequality, and then plateauing. And Chinese inequality is higher than the American inequality. People don't know that, but it is higher. Chinese inequality is sort of, how should I say, is below Latin American level, but not that much below Latin American level. And that inequality has plateaued under Xi. But what is interesting under Xi also is that the gap between rural and urban areas has been reduced. Because actually he put a huge emphasis on development of the essential elimination of rural poverty and higher growth rates in the rural areas compared to urban areas.

So you see the effects of she even in income distribution data. And you've characterized this convergence towards what you call national market liberalism. There was a possibility, you know, especially after the global financial crisis that there could have been something more from kind of the left in terms of economic policy, you know, more of a socialism, you know, we have the Occupy movement, you know, we had Bernie Sanders, you

know, and so on. And often you do think, you know, after some kind of crisis of capitalism and so on, at least economically, they'd be moved to the left. Yeah, that didn't really happen anyway? I mean, why do you think that was? Well, that's a very good question. I really don't have a really clear answer on that. But there is certainly, let me just say that there was certainly a possibility. And even if you go and look, I hate to do that because people often ask me to go for the elephant chart. But the appeal of the elephant chart for many of your viewers and listeners, they would know that actually the appeal of that was that it highlighted two groups that have done extremely well. That was basically middle class in Asia.

and the global top, which meant also the US top. But the group that did poorly were parts of the Western middle classes. Now, that graph very starkly, in a very stark way, tells you, OK, if you want the middle class to grow, what do you do? Do you go after China and change globalization as what actually is happening? Or do you go after your top 1%? and start redistributing. So I think the chart was very successful because it really illustrated the policy dilemma. And the policy dilemma was solved in the way that we just talked about. OK, let's redo globalization because it is really benefiting China too much. Now, why didn't the left? And of course, as you said, there was left. There was Bernie Sanders, for example. I really don't know. It becomes then very complicated. It goes into individual personalities and decisions. I know for a fact, actually.

that the DNC, Democratic National Convention, did everything they could to sabotage Bernie. So I'm not saying that's an explanation because it is a very sort of a small, it has to be a large explanation. Maybe there was money, maybe the issue was actually the Democrats who had money in the US did not want to give it to Bernie. There were many issues there. Who is funding political campaigns? So I don't have an answer. I think it's a very good question. But that was definitely a road that could have been taken. Now, as usual, Europe kind of gets stuck in the middle somewhere and kind of seems to have to just respond to everybody else rather than be proactive.

What does this all mean for Europe? Does it mean it also ends up following this national market liberal approach at the country level? Or does Europe somehow carry some other model with the thought forward or not? Europe

definitely is a very nice place to live now. And as everybody says, I don't think there is any other place in the world which is as attractive for many reasons. The nice climate, history. very diverse population all that. But the question is actually if you look at European policies, although it's difficult to talk about Europe, because of course there are differences between the countries. But you do find that essentially this is the American policy followed with a time lag of like three years or thereby. Because for example, the conflict with China takes place now, whereas the US started it several years earlier.

And the conflict with China is not very dissimilar from the one that happened in the US. As people call it, as you know now, China's shock 2.0. And the first shock was the shock that really hit the US and Midwest. Now the shock is really happening, I mean, hitting Europe and Germany in particular. So I don't see European policies as being different, but that goes more into politics, but I see European policies in many respects being rather irrational because the whole region depends on two things, actually, among others, but we have two crucial things. They need energy and they need people. And they have decided to cut off Russian energy and they want to pay more for energy rather than less. And they have decided to totally close themselves to immigration. So, you know, when you look at that from very abstract point of view, you say, well, it makes no sense, you know.

But of course, the only one is for political reasons. And the second one is also political reasons, because domestic population cannot absorb migration and understand that. But from you actually take very cool look from up from Mars and look down and say, well, these two policies really make no sense. Yeah, understood. Yeah. The other thing we've seen very clearly is geopolitics. And of course, we've had a number of light walls, obviously the CEOs. Iran, you know, earlier Russia, Ukraine, they're still going on. And so, you know, is this part of this transition away from neoliberalism towards national market liberalism? Is this kind of inevitable you'd actually have hot conflicts along the way? You know, there are all these features that now, of course, maybe I'm over interpreting, but there are all these features of a transitional system because these are the features. If you look at, for example, Ukraine, Russia, which was not that light, actually, we're talking probably about two million casualties, including all the debt and the injured

and all of that, so it's a lot. You will probably, in about 15 or 20 years, you will interpret this war, including of course Iran war against Israel and the US, as a realignment of political powers and the creation of some that we don't still see exactly how it will be polycentric world. And so the conflicts would like in life when we were taking, when you asked me your original question, the conflicts would be much better understood, obviously exposed, because we will see what they led to. And I do believe that we are now in that sense in an interregnum, which is also geopolitical interregnum towards a different world in the sense that the large countries that have not been really represented very well at the center of global power will now have much more of a role.

We got used to, you know, a system which was basically bipolar system between the US and the Soviet Union. When the Soviet Union collapsed, it became sort of unipolar. And countries like China, India, Brazil, South Africa, Nigeria, Indonesia, these countries really did not have a role, which I think normally will belong to them. Okay. Now, if we move more towards the micro, you know, you talked earlier about some points once on class and, you know, you've talked about new elite classes and you have a term You know, correct me. I'm a polluteer. Yeah, I've never heard of that before. No, I invented it. You couldn't hear me. You invented it, OK? OK. I thought, you know, I didn't know my classical languages. But what does that mean? And how's it different from, you know, the traditional capitalist class that we kind of, you know, imagine in my head? Well, it's a great question. You know, it means, let me put it in a very simple way. Why is it different? And I'll explain later what is this kind of neo-logism, because it would be very clear after the definition.

What we find, as you know, I've been working with MicroData for a long time and so on. And what I find is that in rich countries, let's take the US as an example, you have an increasing share of people who are at the top of income distribution, overall income distribution. But they are at the same time, the same people, are at the top of distribution of capital income, which means they are top property owners, because you have to be at the top of the capital distribution. You have to have property, right? And the same people are also at the top of income distribution by earnings. And it is something very unusual historically and unusual when you compare US, for

example, to Brazil or Peru. The top people in Brazil in Peru or Peru and the top people in the US historically were capitalists.

There were some people, for example, a doctor who is doing very well. He could be also part of the top class, but he's not at the same time he's a top doctor and he has high labor income, but he will not have a high capital income. It would take him a long time and it would be a very special occasion that he would rejoin the top capitalists. But now, We have these two, that particular group of people, which has these two sources of income that, according to Marx, were of course, how should I say, inimical to each other. There was a basic contradiction between labor and capital. And Marx could have never imagined that the top people would share in both ownership of capital and be highly paid laborers.

Now, I think it has an immense importance, and maybe I'm blowing my own horn, but it has an immense importance because, think of the fact that these people feel, and that's what I actually use Daniel Markowitz's book quite a lot, a Michael Sandel, they really feel meritocratic in the sense they feel they deserve it because they really have quite a substantial part of their income from labor. So they work hard. And when you work hard and you have high labor income, you kind of tend to forget that you also have like large fidelity funds, some Vanguard funds, and all these funds that actually send you money monthly or annually or whatever, because you say, okay, well, I am really educated, hardworking. They work actually many more hours, not many, but more hours than, for example, less well-paid. So they feel they deserve it. And they are huge.

How should I say? They're committed and they're vested into protection of property rights because they get also large income from capital. So this is a long answer. But you know, the idea was that it is indeed a new elite, which I think we have historically not seen. And finally, for neologism, it was homo is the same and Plutia is wealth. So they are wealthy, equally wealthy, if you will, wealthy in both factors of production. They are wealthy. in capital and wealthy in labor, if you can call it human capital, human capital and financial capital. So it is new. I think it's really huge development. That's great. I've actually had Michael Sandel on my podcast before and he's talked about critique of meritocracy or perceived meritocracy that we

have. You know, in this Hermit Plutia, I mean, is that also the case in Europe as well and China and other places? Or is this mainly a US phenomenon? No, no, it's European phenomenon as well. You know, we're talking just to give you an idea.

In the U.S., you have about one-third of the top 10% homopolitan. So that means that if you define them as an elite, the U.S. has an elite of 3% of people. The 3% of people are both among the richest capitalists and richest laborers. In Europe, these numbers are between 2% and 3% also. So 2.5% and so on. But you go to countries which are more capitalistic on the traditional sense, Brazil, Peru, Argentina, Colombia, you'll find 1%. Actually, there is not overlap. You know, the richest capitalist in Brazil, they're not also the richest employees. And so that's actually interesting part. And I said, this is honestly, I believe, the only part of modern capitalism that Marx would not be able to understand. He could understand that one individual doctor, as I was saying before, makes it to the top, but not that the large group of people are really the largest capitalist and largest and most well-paid workers. That would be very unusual. And another category that I've heard you talk about is the folksy elite. People like Trump and these sorts of people who kind of did very well from the old system, but at the same time they're rebelling against the system as well. This whole folksy elite idea. Can you talk more on that?

I think the term is probably mine, but I took the idea from Daniel Markowitz's book, which I think is an excellent book because it gives you the ideology of that elite. And it shows that the ideology of the meritocratic elite in the United States is what he calls an old-fashioned ideology, in the sense that they believe in hard work They believe that they deserve all of this. And implicitly, then they believe that those who have not done well, there is a flaw in them. There is a problem in them. They are not hardworking. They are not intelligent. And this whole thing about deplorables, it was not a mistake that Hillary made one day by using that term, which then sort of, of course, became so much reviled. But it was an opinion that essentially did, of course, those who voted against you know, meritocratic elite really felt, they felt resentment. They felt resentment of being sort of essentially considered guilty for their own lack of success.

And I think that's actually the part that I took. And I think that that ideology is quite important in explaining how the elite feels about itself.

Okay, yeah. And in terms of migration, you know, we talked about neoliberal order had, you know, implicitly some notion of free movement of labor or some version of that. And in some ways, and your work shows this, that, you know, migration does solve lots of problems. And you've talked about circular migration, which you can explain in a moment. But, you know, at the same time, there's this kind of real pushback against that. So in this kind of new world we're in, how should we think about migration? Because it appears to be a massive wedge issue, you know, across the world. It is a major issue. Let me just before answer, let's go back to this folksy because I forgot to mention the folksy part. But I think what actually what the Marquis does also is that the elite wants to present itself as hardworking and ordinary despite all of these things that make them extraordinary. They want to, and I say that, compare that with, for example, people from Jane Austen novels. You know, they are not folksy elite. They actually want to make sure that you understand the way that they are dressed, the way they behave, the way of entertainment is different. The folksy elite, particularly I think American folksy elite, they really like to pretend they are an ordinary Joe. So there is like this desire, you know, to be like an ordinary. Of course, they send you a signal that they are not ordinary, but they do it in a fairly discrete way. So they like to feel that they are ordinary. So that's why I went false. Now to go back to migration, I spoke and I'm not the only one. There are many people who talked about a circle of migration. It's not a great solution. But basically we have two possibilities. One possibility is free movement of labor, which we know has really become now sort of not even theoretical if you believe national market liberalism, but that's not even an aspirational thing anymore. So that's gone. And we have Europe and to some extent the United States becoming a fortress. And these two extreme solutions are obviously, I mean, one is impossible, impractical. The other one is totally politically out of the question. I mean, the free markets, free movement of labor.

And then I thought, well, we should come up with something in the middle, which means it would be temporary migration, which has many drawbacks, but at least enables people from poor countries who want to make more

money to come for a certain period of time and to make money and then to have to return. I know they are not ideal. I wouldn't like it to have it myself. But if there is no other solution, I thought actually that would at least improve incomes of people actually doing improve also in a quality in the world because of course people would have more better jobs in Italy than in Morocco. So that was the idea. But we have really a major problem now and I think that major problem is especially important for Europe because as I mentioned several times, Europe is a continent of emigrants. People were not moving into Europe. Europeans were moving all around the world and they of course that's why they created all the, you know, North America, Australia, South Africa, it was Europeans. But they didn't have, I mean, I was jokingly saying, but the last time that there was a migration in Europe, it was Mongol migration, you know. It's like you didn't have migration into Europe. And I think that's why these societies really have hard time absorbing migrants because they never dealt with them.

Okay, and then in terms of what this all means, say, for the next five, 10 years, I mean, are we saying that this system that we've transitioned to, is this the new order now for the next five, 10 years, or do you think this is an unstable situation and something else will emerge suddenly or slowly or something? Or is this kind of a stable equilibrium, I guess, what I'm asking here? I believe that this system is like any other system, is a system that would be reason not be stable for a given period of time. Let me explain that. The one advantage of getting gold is that you actually see in your own life and experience how everybody, for example, in the 90s, everybody was agreement with what we call global neoliberalism and all these writings, hundreds of them.

And there was this belief, oh, this is the system that would be until the end of the times, you know, of course, that's why we call it the end of history, not in a primitive sense that there will be no more history, but in the sense of ideologically, we have reached the pinnacle of human development, because we know these two pillars, capitalism and liberalism, are there to stay. Well, it didn't stay, you know, it changed. And likewise this one, national market liberalism. I don't think it's going to stay forever, but I do believe that there are so many elements now that are being created as we speak, policies with respect to China, changing international economic

environment, putting all the, for example, the mechanism of economic coercion. It is being developed by everybody. Everybody is seizing money from this guy, somebody is seizing money from somebody else.

All that mechanism means, in my opinion, that the system is at the beginning and it has some lifespan. Now, I'm not the prophet. I don't know when that lifespan would be 20 years or 30 years. I don't know, maybe 50. But I don't think that we are talking and I think people who speak and say, oh, this is kind of interregnum. It will just fizzle out in five years. I really don't think so. I think there are so many forces that have been already built within the system that would maintain it for a reasonable period of time. Now, of course, what is we I don't know. But I don't think it's something that we can say, oh, this is like once the Trump is gone in two years, well, it would all go back to where it was.

That's a great point. Now, I wanted to round off with a sort of more personal questions. One is, some of our audience are actually young, young people, and they've graduated. They've got good degrees. They're struggling to find jobs. There's a lot of angst amongst the youth these days. It's AI. There's also just this thing about wealth not being handed down to them. They can't buy a prop. There's this general disillusionment amongst sort of Gen Z and youngsters. What advice would you give to young people today? No, there is. I mean, my sons are about the same age, so these problems are not known to me. It seems to me that the level of competition among young people is so high, because it's also the level of education is high, and you have more and more people. You know, an interesting book actually I would suggest is, of course, Peter Turchin, who has the books about the elite.

And what is interesting there is that it is a simple idea, but I think it applies today. When you have high inequality and limited number of, let's suppose, chairs that would give you high income. And you have lots of the elite fighting. You know, the price is very high. When you have high inequality, the price of getting that chair with high income is very high. So the struggle is huge. So that was what he calls what is called the elite multiplication. So that's what we have. And I think what young people really suffer quite a lot. And they suffer also from an ideology, which however you want to define it is an ideology that puts really the emphasis on money and on success. So

they're victims of high inequality, an ideology that really essentially says you're a good person, you're valuable.

if you're rich, and the lack of possibilities, opportunities. So that's why I think many of them will call themselves socialists and so on, because they see socialism as either reducing the gaps so that the value of you getting the top chair with high income becomes much less than it is now. In that sense, the pressure would be less. I agree with that. If, for example, your salary is 100 and my salary is 99, It doesn't matter to you that you get the highest share because the gap between you and me is very small and we can live more or less the same. But if I get 99 and you get 10,000 and the fact that you got 10,000 is so much than admired by everybody else, you know, well, then it really annoys me and I'm of course quite unhappy. So I think that I don't have an answer to that, but I can totally sympathize with the angst because as I said angst the result of an ideology of high inequality and high reproduction, high production of the elite. So you have three elements, high inequality, a few possibilities, ideology that values the top only, and lots of elite. And that's the problem. Now, let me give you the last example about this top, this last World Cup in soccer. As we like to call it in Europe.

to the commentators, American commentators. There was an unhealthy, really focused only on the top players. You know, it's Messi, Messi, Messi. Mbappe, Mbappe, Mbappe. Then Jamal, Jamal, Jamal. Then Kane, Kane, Kane. You know, and actually I love that the Spain won because actually they were the least of all of them. They actually had a team. But you know, this is the ideology of the moment. And that actually the ideology when you translate it to the young generation and people who feel anxiety is exactly the same thing. Because only the very top do not need to feel or maybe they feel the anxiety maybe because they might lose this top position. But you know, it is the whole system, the whole world is structured in that particular way.

And that's great, great points there. You know, you've written many, many books yourself. So presumably there are books that influence you as well. I mean, what are some of the books that have influenced you over the years? Well, there are many books that influence me. I cannot even start really. But, you know, I was influenced by it a lot. Let me start maybe like with

history because I like reading history quite a lot. I was influenced by the historians, like, for example, E.H. Carr, you know. He has like 10 volume Bolshevik revolution, then he has this 20 year crisis that was between the two wars. Then another British historian, A.J. P. Taylor, who was very, very famous in the 60s and the 70s, a revisionist view on the World War II, for example. And then, of course, then in...

Social science is obviously Polanyi, because even the great global transformation was really taken from Polanyi. I read actually three times. I read the Polanyi first time and the second time I understood that really I didn't understand Polanyi. And the third time I really was, I think actually by now I was able to understand. Marx obviously influenced me quite a lot. Arnold Smith enormously, so these would be. And then of course in literature as well, for example, believe it or not, but when I was young I read the entire proofs. Did Bruce really... One of the few people that actually read the whole volumes. Yeah, I'm very actually, you know, this is not, no, okay. Well, it is bragging but I actually read the entire Bruce and I read the entire Believerhood or not Gibbon. Gibbon was, I read Gibbon because of the wars in Yugoslavia, because I started actually trying to understand why the wars happened. And then of course you go back and the origin of that was the division of the of church into the Catholic and Orthodox. And that was really Byzantium. And why Gibbon? Gibbon has negative view about Byzantium. But Gibbon really, he's a great storyteller, but he also, because he tells you the story from the fall of the Roman Empire. So I think the story becomes like, if I remember, it starts about a year 200 approximately and goes all the way to the fall of Byzantium. You have actually, we all know pieces of that history, but you really need to read somebody who would actually put it in a context. It was a great writer, so that was one of them. That's great. That's about Tolstoyov. And that's about your writer, also Dostoyevsky, for example, and Tolstoyov. Yes, they were very influential.

OK, that's great. Now, we have to talk about your book as well. You've written the great global transformation. How can people get hold of it? And on top of that, in general, how can people reach out to you and connect with you if they wanted to? Well, you know, the book, they can obviously get it on the internet of different places or selling the book. It is now coming in

November. There's a Penguin's book, and it will come with the paperback. I just saw the paperback. So it will be out in October or November. And I think it would be like, I hope it would be like 12 or 13 pounds, something like that. So it would not be expensive. Currently, I think it's about 20 or 20 pounds. I don't know exactly.

And they can get in touch with me easily because they can actually even tweet, you know, I'm quite active on on X or in blue sky as well. And they can also write to me because you can easily find my email. I don't need to give it now. But, you know, you know, it is on the internet. It is not a secret email. So you can, you know, get it, get it. Barbara Tuckman was the Guns of July. That was the origin of World War I. Barbara Tuckman was, and actually she wrote also a book which was called Zimmerman's Telegram about the beginning of the war between the U.S. and Germany. So that was another historian. So World War I, World War II. Excellent. World War I, the history of China.

We could carry on going, but we have to wrap up the conversation now, unfortunately. Well, I mean, all I have to say is it's been fantastic speaking to you, Branko, and your book is excellent, so I do urge everyone to get a hold of it all. And just continue to do your great work. It's very original work. It's very needed work, and good hope you carry on doing it. Well, thank you very much. Thank you for these comments. I hope the people like the book and I have to tell them it's not a long book. It's 260 pages. So don't be afraid that you will never reemerge from the book. Yes, you will just go on. That's great. And I think it reads relatively easily. Well, thank you so much. It was a pleasure and I hope we'll stay in touch. Absolutely.

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